

Smart Document Analysis Report

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Risks

This Quarterly Report on Form 10-Q contains forward-looking statements within the meaning of the Private Securities Litigation Reform Act of 1995. These include, among other things, statements regarding the growth of our business and revenues. Our expectation that the continuing shift from an offline to online world will continue to benefit our business. Our expectation that our monetization trends will fluctuate, which could affect our revenues and margins. fluctuations in paid clicks and cost-per-click. forward-looking statements may appear throughout this report and other documents we file with the Securities and Exchange Commission (SEC), including without limitation, the following sections: Part I, Item 2, "Management's Discussion and Analysis of Financial Condition and Results of Operations" in this Quarterly Report. The expected timing, amount, and effect of Alphabet Inc.'s share repurchases and dividends. forward-looking statements are based on current expectations and assumptions that are subject to risks and uncertainties. Factors that could cause or contribute to such differences include, but are not limited to, those discussed in this Quarterly Report on Form 10-Q; the risks discussed in Part I, Item 1 A, "Risk Factors" in our Annual Report for the fiscal year ended December 31, 2023. "Alphabet," "the company," "we," "us," "our," and similar terms include Alphabet Inc. and its subsidiaries, unless the context indicates otherwise. We do not intend. our use or display of other companies' trade names or trademarks to imply an endorsement or sponsorship of us by. such companies. During the three and nine months ended September 30, 2024, we repurchased \$15.3 billion and. \$47.0 billion, respectively, of Alphabet's Class A and Class C shares. In April 2023, the Board of Directors of Alphabet authorized the company to repurchase up to \$70. 0 billion of its Class A or Class C Shares. Repurchases are executed from time to time, subject to general business and market conditions and other investment opportunities. During the three and nine months ended September 30, 2024, total cash dividends were \$1.2 billion and. \$2.3 billion. The company intends to pay quarterly cash dividends in the future, subject to review and approval by the company's Board of Directors in its sole discretion. For quantitative and qualitative disclosures about market risk, refer to Part II, Item 7 A, Quantitative and Qualitative Disclosures About Market Risk. There have been no changes in our internal control over financial reporting that occurred during the quarter. ended September 30, 2024. Limitations on Effectiveness of Controls and Procedures. Our operations and financial results are subject to various risks and uncertainties. We are and may continue to be subject to claims, lawsuits, regulatory and government inquiries and. investigations, enforcement actions, consent orders, and other forms of regulatory scrutiny and legal. liability, including competition matters. In August 2024, the U.S. District Court for the District. of Columbia ruled that Google violated antitrust laws relating to Search and Search advertising. In December 2023, a California jury delivered a verdict in Epic Games v. Google finding that Google. violated antitrust laws related to Google Play's business. The presiding judge issued a remedies decision on October 7, 2024 that ordered a variety of alterations to our business models and operations. Other regulatory agencies in the U.S. and around the world, including competition enforcers, consumer. protection agencies, and data protection authorities, have challenged and may continue to challenge our business practices. Claims have been brought against us for defamation, negligence, breaches of contract, patent, copyright and trademark infringement, unfair competition, unlawful activity, torts, privacy rights violations, fraud, or other legal theories. We may also be subject to claims involving health and. safety, hazardous materials usage, other environmental effects.

Financials

Alphabet Inc. (Exact name of registrant as specified in its charter) (I.R.S. Employer Identification Number) 1600 Amphitheatre Parkway. Mountain View, CA 94043. Class A Common Stock, \$0.001 par value GOOGL Nasdaq Stock Market LLC. (Nasdaq Global Select Market) Indicate by check mark whether the registrant has submitted electronically every Interactive Data File required to be submitted. pursuant to Rule 405 of Regulation S-T (§232.405 of this chapter) During the preceding 12 months (or for such shorter period. that the registrants was required to submit such files) Yes ☒ No ☐ Indicate whether the Registrant is a shell company (as defined in Rule 12 b-2 of the Exchange Act) Alphabet Inc. (unaudited) Cash and cash equivalents \$ 24,048 \$ 19,959. Marketable securities 86,86873,271. Other current assets 12,65015,207. Property and equipment, net 134,345161,270. Goodwill 29,19831,935. Other non-current assets 10,05113,867. Total assets \$ 402,392 \$ 430,266. Revenues \$ 76,693 \$ 88,268 \$ 221,084 \$ 253,549. Costs and expenses 55,35059,747160,488172,131. Income before income taxes 21,19731,70661,30587,572. Provision for income taxes 1,5085,4058,19713,990. Net income \$ 402,392 \$ 430,266. Cost of revenues 33,22936,47495,757105,693. Research and development 11,25812,44733,31436,210. Sales and marketing 6,8847,22720,19820,445. General and administrative 3,9793,59911,2199,783. Total costs and expenses 55,35059,747160,488172,131. Income from operations 21,34328,52160,59681,418. Other income (expense), net (146) 3,1857096,154. Income before income taxes 21,19731,70661,30587,572. Provision for income taxes 1,5085,4058,19713,990. Net income \$ 19,689 \$ 26,301 \$ 53,108 \$ 73,582. Available-for-sale investments: Change in net unrealized gains (losses) (678) 1,208 (382) 755. Less: reclassification adjustment for net (gains) losses included in. net income 25588745629. Net change, net of income tax benefit (expense) of \$120, \$138, \$115 and \$88547 (696) 542 (444) Other comprehensive income (loss) (1,045) (7845671,174. Comprehensive income \$ 18,644 \$ 28,085 \$ 53,675 \$ 74,756. 12,849 \$ 68,184 \$ (7,603) \$ 195,563 \$ 256,144. Stock issued 1020000. Stock-based compensation expense 016,9050016,905. Tax withholding related to vesting of. restricted stock units and other O (3,082) O (14) (3,096) Repurchases of stock (90) (822) O (\$14,477) (15,299) Net income 00019,68919,689. Other comprehensive income (loss) 005670567. Balance as of September 30, 202312,541 \$ 74,591. 12,322 \$ 79,732 \$ (5,012) \$ 226,033 \$ 300,753. Balance as of September 30, 202412,264 \$ 82,030 \$ (3,228) \$ 235,317 \$ 314,119. Sale of interest in consolidated. entities 028500285. Net income \$ 53,108 \$ 73,582. Other comprehensive income (loss) 001,17401,174. Balance as of September 30, 202412,264 \$ 82,030 \$ (3,228) \$ 235,317 \$ 314,119. Investing activities: Purchases of marketable securities (49,422) (65,034) Maturities and sales ofMarketable securities 52,64281,779. Purchases, net of cash acquired, and purchases of intangible assets (466) (2,840) Net cash used in investing activities (20,896) (29,356) Financing activities: Repurchases of stock (45,313) (46,671) Dividend payments O (4,921) (9,621) Proceeds from issuance of debt,net of costs 9,2988,694. In 2015, we implemented a holding company reorganization, and as a result, Alphabet Inc. became the successor issuer to Google. We generate revenues by delivering relevant, cost-effective online advertising; cloud-based solutions that. provide enterprise customers with infrastructure and platform services. FASB issued Accounting Standards Update. (ASU) 2023-07 "Segment Reporting (Topic 280): Improvements to Reportable Segment Disclosures" We are currently evaluating the potential. effect that the updated standard will have on our financial statement disclosures. We will adopt. ASU 20 23-09 for our annual periods beginning January 1, 2025. As of September 30, 2024, we had \$86.8 billion of remaining performance obligations ("revenue backlog"), primarily related to Google Cloud. Our revenue backlog represents commitments in customer contracts for future services that have not yet been recognized as revenue. As of September 30, 2024, we had \$86.8 billion of remaining performance obligations ("revenue backlog"), primarily related to Google Cloud. We expect to recognize approximately half of the revenue backlog. as revenues over the next 24 months with the remainder to be recognized thereafter. For certain marketable debt securities, we have elected the fair value. option for which changes in fair value are recorded in OI&E. The fair value option was elected for these securities to align with the unrealized gains and losses from related derivative contracts. The following tables summarize our cash, cash equivalents, and marketable securities measured at fair value on a recurring basis. As of September 30, 2024, Alphabet Inc. had \$80,434 \$ 433 \$ (1,950) \$ 98,407 \$ 24,048 \$ 86,868. (1) Represents gross unrealized gains and losses for debt securities recorded to accumulated other comprehensive income. (2) Long-term portion of marketable equity securities (subject to long-term lock-up restrictions) of \$1.4 billion as of December 31, 2023 is included within other non-current assets. Money market funds Level 15,9325,9320. Current marketable. equity securities(2) Level 14,93304,933. Mutual

funds Level 22910291. Government bonds Level 21,4591281,331. Corporate debt securities Level 23,094593,035. Total investments with fair value change recorded in net income 18,8956,11912,776. As of September 30, 2024, the carrying value of our non-marketable equity securities was \$33.7 billion, of which \$13.7 billion were remeasured at fair value during the three months ended September 30, 2024. The following tables present fair values and gross unrealized losses recorded to AOCI. Government bonds \$ 1,456 \$ (22) \$ 13,897 \$ (657) \$ 15,353 \$ (679) Corporate debt securities 827 (5) 15,367 (592) 16,194 (597) Mortgage-backed and asset-backed securities 2,945 (26) 7,916 (608) 10,861 (634) Total \$ 5,228 \$ (53) \$ 37,180 \$ (1,857) \$ 42,408 \$ (1,910) The carrying value of equity securities is measured as the total initial cost plus the cumulative net gain (loss). Gains and losses, including impairments, are included as a component of OI&E in the Consolidated Statements of Income. Certain of our non-marketable equity securities include investments in variable interest entities (VIE) where we are not the primary beneficiary. Gains and losses (including impairments), net, for marketable and non-marketable equity securities included in OI&E are summarized below (in millions):

	Three months Ended	Nine Months Ended
September 30, 2023	2024	2023
Realized net gain (loss) on equity securities sold during the period	\$ 42	\$ 41
Unrealized net loss on non-marketable equity securities	(1) (184)	1,462 (678) 3,038

As of December 31, 2023 and September 30, 2024, equity securities accounted for under the equity method had a carrying value of approximately \$1.7 billion and \$2.0 billion, respectively. Our share of gains and losses, including impairments, are included as a component of OI&E in the Consolidated Statements of Income. As of December 31, 2023 and September 30, 2024, we had investments in convertible notes of \$921 million and \$2.8 billion, respectively, majority of which are convertible notes held for investment. Convertible notes held for investment are recorded at amortized cost which includes unpaid principal balances, deferred origination costs, and any related discount or premium, net of allowances for credit losses. As of September 30, 2024, the net accumulated loss on our foreign currency cash flow hedges before tax was \$433 million. Cash flow hedge amounts included in the assessment of hedge effectiveness are deferred in AOCI and subsequently reclassified to revenue when the hedged item is recognized in earnings. We enter into derivatives to hedge the market price risk on certain of our marketable equity securities. Gains and losses arising from other derivatives are primarily reflected within the "other" component of OI&E. The gains (losses) on derivatives in cash flow hedging and net investment hedging relationships recognized in other comprehensive income (OCI) are summarized below.

	(1) Derivative assets	are recorded as other current and non-current assets in the Consolidated Balance Sheets.
Gains (losses) reclassified from AOCI to income	\$ 71	\$ 0
Revenues (expense), net	\$ 221,084	\$ 709
Offsetting of Derivatives. Cash collateral received related to derivative.	\$ 253,549	\$ 6,154

We enter into master netting arrangements and collateral security arrangements to reduce credit risk. Cash and non-cash collateral pledged related to derivative instruments are included in other current assets. Derivatives assets \$ 707 \$ (62) \$ 645 \$ (198) \$ (3) \$ 444. As of December 31, 2023 and September 30, 2024, assets that can only be used to settle obligations of these VIEs were \$4.9 billion and \$7.8 billion, respectively. Liabilities for which creditors only have recourse to the VIEs were \$2.5 billion and \$1.9 billion, respectively, as of the same period. Waymo, a fully autonomous driving technology company and a consolidated VIE, received \$4.8 billion in funding during the three months ended September 30, 2024, followed by an additional \$860 million in October 2024. We have investments in VIEs in which we are not the primary beneficiary. We have a debt financing program of up to \$10.0 billion through the issuance of commercial paper. Net loss attributable to noncontrolling interests was not material for any period presented. Short-Term Debt. We have a debt financing program of up to \$10.0 billion through the issuance of commercial paper. Net proceeds from this program are used for general corporate purposes. Total outstanding debt is summarized below (in millions, except percentages):

Effective Interest As of	As of Maturity	Coupon Rate	Rate	Rate	December 31, 2023	September 30, 2024
The total estimated fair value of the outstanding notes was approximately	\$10.3 billion					
as of December 31, 2023 and September 30, 2024, respectively.						
The fair value was determined based on observable market prices of identical instruments in less active markets and is categorized accordingly as Level 2 in the fair value hierarchy.						
The allowance for credit losses on accounts receivable was	\$771 million					
and \$857 million. The amounts related to the European Commission (EC) fines, including any under appeal, are included in accrued expenses and other current liabilities on our Consolidated Balance Sheets.						
In the third quarter of 2024 we made a cash payment of \$3.0 billion for the 2017 EC shopping fine.						
Other comprehensive income (loss) before reclassifications	(338)					(382)

484 (236) Amounts excluded from the assessment of hedge. effectiveness recorded in AOCI 00143143. Balance as of December 31, 2022 \$ (4,142) \$ (3,477) \$ 16 \$ (7,603) Other income (expense), net \$ (146) \$ 3,185 \$ 709 \$ 6,154. Interest expense is net of interest capitalized of \$47 million and \$57 million for the three months ended September 30, 2023 and 2024, respectively. In accordance with the accounting requirements under Accounting Standards Codification Topic 805, we recorded \$2.7 billion of goodwill and \$413 million of goodwill in the third quarter of 2024. We recorded \$2.7 billion of goodwill and \$413 million of intangible assets resulting from a transaction with character.ai. Goodwill was recorded in Google Services and Google Cloud and is deductible for tax purposes. We have content licensing agreements with future fixed or minimum guaranteed commitments of \$9.2 billion. As of September 30, 2024, we did not have any material indemnification claims that were probable or reasonably possible. We record a liability when we believe that it is probable that a loss has been incurred, and the amount can be reasonably estimated. We evaluate developments in our legal matters that could affect the amount of liability that has been previously accrued. The outcomes of outstanding legal matters are inherently unpredictable and subject to significant uncertainties. Significant judgment is required to determine both the likelihood of there being a loss and the estimated amount of a loss related to such matters. We may be unable to estimate the reasonably possible loss or range of losses. Google was fined \$1.7 billion by the European Court of Justice. The fine was reduced by \$217 million in 2022. In 2024, the EU's General Court overturned the EC decision and annulled the €1.5 billion fine. In December 2023, a California jury delivered a verdict in a similar lawsuit in Epic Games v. Google. The jury found that Google violated antitrust laws related to Google Play's business. A separate proceeding is being held to determine remedies. The DOJ has proposed a high level remedy framework, which includes alterations to our products and services and our business models and operations. The EC, the CMA, and the ACCC each opened a formal investigation into Google's advertising technology business practices. In May 2022, the EC and the CMA each opened investigations into Google Play's business practices. Korean regulators are investigating Google Play's billing practices. We believe we have strong arguments against these claims and will defend ourselves vigorously. The U.S. International Trade Commission (ITC) has increasingly become an important forum to litigate intellectual property disputes. An ultimate loss in an ITC action can result in a prohibition on importing infringing products. We are subject to claims, lawsuits, regulatory and government investigations, other proceedings. The following table sets forth the computation of basic and diluted net income per share of Class A, Class B, and Class C stock (in millions, except per share amounts):

	Three Months Ended September 30, 2023	2024												
Class A	Class B	Class C	Consolidated											
Class A	Class B	Class C	consolidated											
Net income	\$ 10,544	\$ 1,357	\$ 9,145	\$ 19,689	\$ 14,237	\$ 1,834	\$ 12,064	26,301						
Diluted net income per share	\$ 1.55	\$ 1.55	(\$ 2.12)	(1)	Not applicable for consolidated net income per share.	Net income	\$ 28,346	\$ 3,658	\$ 24,762	\$ 53,108	\$ 39,715	\$ 5,116	\$ 33,867	\$ 73,582
Basic net income per share:	Numerator.	Number of shares used.	in basic computation	5,932	879,586	612,677	5,863	867,519	12,349					
Weighted-average effect of dilutive securities.	Add:	Conversion of Class B to Class A shares.	Diluted net income per share	\$ 4.16	\$ 5.90	\$ 5,811	879,950	12,761	6,730	867,501	2,480			
Shares outstanding	87900	(1)	86700	(1)	Restricted stock units and other contingently issuable shares	00848400131131	Number of shares used.	in per share computation	6,811	879,950	12,761	6,730	867,501	2,480
Add:	Conversion of Class B to Class A shares.	As of September 30, 2024, there was \$39.6 billion of unrecognized compensation cost related to unvested RSUs. This amount is expected to be recognized over a weighted-average period of 2.6 years. We are subject to income taxes in the U.S. and foreign jurisdictions. We report our segment results as Google Services, Google Cloud, and Other Bets. Google Services includes products and services such as ads, Android, Chrome, devices, Google Maps, Google Play, Search, and YouTube. Google Cloud includes infrastructure and platform services, collaboration tools, and other services for enterprise customers. As announced on April 18, 2024, we further consolidated teams that focus on building AI models across Google Research and Google DeepMind to further accelerate our progress in AI. Certain costs are not allocated to our segments because they represent Alphabet-level activities. Charges associated with employee severance and office space reductions during 2023 and 2024 were also not allocated. Our operating segments are not evaluated using asset information. Alphabet is a collection of businesses — the largest of which is Google. We report Google in two segments, Google Services and Google Cloud; we also report all non-Google businesses collectively as Other Bets. See Note 2 for information relating to revenues by geography. We report												

Google in two segments, Google Services and Google Cloud. We also report all non-Google businesses collectively as Other Bets. We generate revenues by delivering relevant, cost-effective online advertising; cloud-based solutions that provide enterprise customers with infrastructure and platform services. Google advertising revenues are comprised of the following: Google Search & other, YouTube ads, and Google Network. Google Services revenues consist of Google advertising as well as Google subscriptions, platforms, and devices revenues. Google Cloud, and Other Bets revenues have been, and may continue to be, affected by other factors unique to each set of revenues. Cost-per-impression is defined as impression-based and click-based. revenues divided by our total number of impressions, and represents the average amount we charge advertisers for each impression displayed to users. Google subscriptions, platforms, and devices revenues are comprised of the following: consumer subscriptions, such as YouTube TV, YouTube Music and Premium, and NFL Sunday Ticket, as well as Google One. Google Cloud revenues are comprised of the following: • Google Cloud Platform, which generates consumption-based fees and subscriptions for infrastructure, platform, and other services. Other Bets are generated primarily from the sale of healthcare-related services and internet services. Cost of revenues is comprised of TAC and other costs of revenues. TAC includes amounts paid to our distribution partners who make available our search access points and services. Other cost of revenues primarily includes compensation expense related to our technical infrastructure and other operations. The main components of our sales and marketing expenses are: • compensation expenses for employees engaged in sales, marketing, and customer service functions; and. spending relating to our advertising and promotional activities in support of our products and services. Other Income (Expense), Net primarily consists of interest income (expense), the effect of foreign currency exchange gains. and impairment on our marketable and non-marketable securities, performance fees, and income (loss) and impairment from our equity method investments. Revenues were \$88.3 billion, an increase of 15% year over year, primarily driven by an increase in Google. Services revenues of \$8.5 billion, or 13%. Total constant currency revenues, which exclude the effect of hedging, increased 16%. Diluted EPS (2) \$ 1.55 \$ 2.12 \$ 0.5737 % NM = Not Meaningful. Total constant currency revenues, which exclude the effect of hedging, increased 16%. Cost of revenues was \$36.5 billion, an increase of 10% year over year. Dividend payments to stockholders of Class A, Class B, and Class C shares were \$1.2 billion, \$173 million, and \$2.1 billion. Operating cash flow was \$30.7 billion for the three months ended September 30, 2024. Google Search & other revenues increased \$5.4 billion and \$17.0 billion. Capital expenditures, which primarily reflected investments in technical infrastructure, were \$13.1 billion. Google Search & other revenues increased \$5.4 billion and \$17.0 billion from the three and nine months ended. September 30, 2023 to the 3 and 9 months of 2024. Google Network revenues decreased \$121 million and \$610 million from the nine months of 2023 and 2024 respectively. Google subscriptions, platforms, and devices. revenues increased \$2.3 billion and \$4.8 billion from the three. and nine months ended September 30, 2023 to the three and. nine months of 2024, respectively. Google Cloud's infrastructure and platform services were the largest drivers of growth in Google Cloud Platform. Google Cloud's infrastructure. and platform services were the largest drivers of growth in Google Cloud Platform. Revenues by Geography. The following table presents revenues by geography as a percentage of revenues, determined based on the. addresses of our customers. We use constant currency revenues to determine the constant currency revenue percentage change on a. year-on-year basis. Constant currency revenues are calculated by translating current period revenues using prior. year comparable period exchange rates, as well as excluding any hedging effects realized in the current period. Results on a constant currency basis, as we present them, may not be comparable to similarly titled measures used by other companies. Total constant currency revenues of \$89.3 billion for the three months ended September 30, 2024 increased \$12.6 billion. EMEA revenue growth was unfavorably affected by changes in foreign currency exchange rates, primarily due. to the U.S. dollar strengthening relative to the Turkish lira. Revenues, excluding hedging. effect 220,998,253,358 (2,671) 256,029,15 % (1) % 16 % Hedging gains (losses) 86,191. Total constant currency revenues of \$256.0 billion for the nine months ended September 30, 2024 increased \$35.0 billion. Cost of revenues increased \$9.9 billion from the nine months ended September 30, 2023 to the nine. months ended Sept. 30, 2024 due to an increase in other cost of revenues and TAC of \$6.8 billion and \$3.2 billion, respectively. The TAC rate decreased from 21.2% to 20.8% from the three months ended. September 30,. 2023, to the three and nine months. ended September 30, 2024, primarily due to a revenue. mix shift from Google Network properties to Google Search

& other properties. The TAC rate on Google Network. revenues was substantially consistent from the three and nine months ended September 30, 2023 to the three and nine months ended September 30, 2024. The increase in other cost of revenues was primarily due to increases in content acquisition costs, largely for YouTube, depreciation expense, and devices costs. R&D expenses increased \$2.9 billion from the nine months ended September 30, 2023 to the three months ended September 30, 2024. The increase in compensation expenses was largely due to an increase in SBC expense of \$214 million. Sales and marketing expenses were up \$247 million from the nine months ended 2023. General and administrative expenses were also up \$343 million. General and administrative expenses decreased \$380 million and \$1.4 billion from the three and nine months ended September 30, 2023 to the three and nine months ended Sept. 30, 2024. The decrease was primarily driven by a reduction in charges related to legal and other matters. Segment operating income (loss) was \$21,343. For the three and nine months ended September 30, 2023 and 2024, Alphabet-level activities included substantially all of the charges related to employee severance and our office space optimization efforts. For additional information relating to our segments, see Note 14 of the Notes to Consolidated Financial Statements included in Item 1 of this Quarterly Report. The increase in operating loss was primarily due to an increase in expenses, largely driven by compensation expenses. The increase in compensation expenses was primarily as a result of the reduction in valuation-based compensation liabilities related to certain Other Bets recognized in the prior year comparable period. OI&E increased \$3.3 billion from the three months ended September 30, 2023 to the three months ended September 30, 2024. The effective tax rate increased from the three months ended September 30, 2023 to the three months ended September 30, 2024. This increase was primarily due to a cumulative one-time adjustment recorded for tax rule changes issued by the Internal Revenue Service (IRS) in the third quarter of 2023. A decrease in the U.S. federal Foreign Derived Intangible Income tax deduction in 2024 contributed to the higher effective tax rates. As of September 30, 2024, we had \$93.2 billion in cash, cash equivalents, and short-term marketable securities. The primary use of capital continues to be to invest for the long-term growth of the business. Our largest source of cash provided by operations is advertising revenues generated by Google Search & other properties, Google Network properties, and YouTube properties. In Google Services, we also generate cash through consumer subscriptions, the sale of apps and in-app purchases, and devices. Cash provided by investing activities consists primarily of maturities and sales of investments in marketable and non-marketable securities. Net cash used in investing activities increased from the nine months ended September 30, 2023 to the nine months ended Sept. 30, 2024. Cash used in financing activities consists primarily of repurchases of stock, net payments related to stock-based award activities, payment of dividends, and repayments of debt. During the nine months ended September 30, 2023 and 2024, we spent \$21.2 billion and \$38.3 billion on capital expenditures, respectively. We expect to increase, relative to 2023, our investment in our technical infrastructure, including servers, network equipment, and data centers. Depreciation of our property and equipment commences when the deployment of such assets are completed. We have a short-term debt financing program of up to \$10.0 billion through the issuance of commercial paper. As of September 30, 2024, we had senior unsecured notes outstanding with a total carrying value of \$11.9 billion. We primarily utilize contract manufacturers for the assembly of our servers and devices we sell. During the three and nine months ended September 30, 2024, we repurchased and subsequently retired 90 million and 293 million shares for \$15.3 billion and \$47.0 billion, respectively. In April 2023, the Board of Directors of Alphabet authorized the company to repurchase up to \$70.0 billion of its Class A and Class C shares. The company intends to pay quarterly cash dividends in the future, subject to review and approval by the company's Board of Directors in its sole discretion. In 2017, 2018, and 2019, the EC announced decisions that certain actions taken by Google infringed European competition law. As of September 30, 2024, we had material purchase commitments and other contractual obligations of \$50.8 billion, of which \$31.1 billion was short-term. These amounts primarily consist of purchase orders for certain technical infrastructure as well as the non-cancelable portion or the minimum cancellation fee in certain agreements. Our website is located at www.abc.xyz, and our investor relations website is at <http://www.abc-xyz/investor>. Access to our Annual Reports on Form 10-K is available on our investor Relations website, free of charge, after we file or furnish them with the SEC. See Part II, Item 7, "Critical Accounting Estimates" in our Annual Report on Form 10-K for the year ended December 31, 2023. Lawsuits, investigations, enforcement lawsuits, and regulatory actions have involved in the past, and may in the future result in substantial

finances and penalties. Any of these legal proceedings could also result in legal costs, diversion of management resources, and negative publicity, all of which could harm our business, reputation, financial condition, and operating results. Estimating liabilities for our pending proceedings is a complex, fact-specific, and speculative process that requires significant judgment. The repurchase program does not have an expiration date. There were no "non-Rule 10 b 5-1 Trading Plans" during the quarter ended September 30, 2024. Average price paid per share includes costs associated with the repurchases. There were no "non-Rule 10 b 5-1 trading arrangements" (as defined in Item 408 of Regulation S-K of the Exchange Act) adopted, modified or terminated during the quarter ended September 30, 2024. Trading and actual sale transactions made pursuant to such trading arrangements will be disclosed publicly in Section 16 filings with the SEC in accordance with applicable securities laws. Google LLC, a subsidiary of Alphabet, filed a notification with the Russian Federal Security Service (FSB) pursuant to Russian encryption control requirements. Neither we nor our subsidiaries generated any gross revenues or net profits directly from such activity and neither we or our subsidiaries sell to the FSB. The registrant has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized. Anat Ashkenazi, Senior Vice President, Chief Financial Officer. Amie Thuener O'Toole, Vice President and Corporate Controller.

Historical analysis unavailable due to processing error.